



File No.: EXP202310230

RESOLUTION OF TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On January 8, 2024, the Director of the Spanish Agency for Data Protection decided to initiate sanctioning proceedings against VUKMAL TRADE, S.L. (hereinafter, the respondent), through the Agreement transcribed below:

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File No.: EXP202310230

AGREEMENT TO INITIATE SANCTIONING PROCEEDINGS

From the actions taken by the Spanish Agency for Data Protection and based on the following

FACTS

FIRST: Mr. A.A.A., with ID ***NIF.1 (hereinafter, the complainant) filed a complaint with the Spanish Agency for Data Protection on 28/05/2023. The complaint is directed against VUKMAL TRADE, S.L. with NIF B09966508 (hereinafter, the respondent). The reasons for the complaint are as follows:

The complainant states that the company for which he provided services until ***DATE.1 required him to use his personal mobile phone for work, having to install an application (Soldo as a platform for company wallet cards, which he had to access daily to make transfers and account for expenses, requiring a phone to send the verification code) to access a website in Ireland, and that, in addition, the company shared his personal mobile number with other employees without his consent.

After notifying the situation, the company's response was that they would not provide him with a company mobile phone; the complainant states that, although he no longer works at the company, his personal phone was included in two WhatsApp groups (Avisos Expofactory and Servicios Centrales, the first for HR matters and the second for work-related issues), being contacted by former colleagues, appearing in those groups as an ex-member, with his phone number and name. The company refuses to delete such groups and continues to require its employees to use their personal phones for work.

The complainant emphasizes that, during the two months he worked at the company, the HR manager (administrator of the WhatsApp groups) and the financial director of the company told him that the issue related to the use of personal mobile phones at work was nonsense, indicating that the financial director would not provide the complainant with a company mobile phone.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), on 21/07/2023, the complaint was forwarded to the respondent for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP) by electronic notification, was not collected by the responsible party within the period for making it available, being understood as rejected in accordance with the provisions of Article 43.2 of the LPACAP on 01/08/2023, as stated in the certificate in the file.

Although the notification was validly carried out by electronic means, with the procedure being considered completed in accordance with the provisions of Article 41.5 of the LPACAP, for informational purposes, a copy was sent by postal mail which was duly notified on 10/08/2023. In that notification, he was reminded of his obligation to communicate electronically with the Administration, and he was informed of the means of access to such notifications, reiterating that, henceforth, he would be notified exclusively by electronic means.

THIRD: On 28/08/2023, in accordance with Article 65 of the LOPDGDD, the complaint filed by the complainant was admitted for processing.

FOURTH: In a document dated 13/09/2023, the respondent stated that on ***DATE.1 the complainant requested the company to remove him from the WhatsApp group and the Soldo application and from any that were used; that the following day he was informed that his data had been removed as

requested; that the respondent has conducted a risk analysis on the processing of personal data, has drafted a protocol of the technical and organizational security measures implemented to comply with data protection regulations, and has drafted a security policy document to inform workers of their rights and obligations regarding the processing of personal data; that until that date, WhatsApp groups were created to streamline the day-to-day operations of the company, requesting only verbal consent; that since 03/05/2023, written consent has been requested from all workers.

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I

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the Guarantee of Digital Rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development, and, to the extent that they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

The reported facts materialize in the inclusion in WhatsApp groups without a basis of legitimacy, which could violate the regulations regarding the protection of personal data.

Article 58 of the GDPR, Powers, states:

"2. Each supervisory authority shall have all of the following corrective powers:

(...)

d) to order the controller or processor to bring processing operations into compliance with the provisions of this Regulation, where appropriate, in a specific manner and within a specified time;

(...)

i) to impose an administrative fine in accordance with Article 83, in addition to or instead of the measures mentioned in this paragraph, depending on the circumstances of each particular case;

(...)"

III

Article 5 of the GDPR, Principles relating to processing, establishes that:

"1. Personal data shall be:

a) processed lawfully, fairly, and in a transparent manner in relation to the data subject ('lawfulness, fairness, and transparency');

(...)"

Article 6.1 of the GDPR establishes the circumstances under which the processing of personal data is considered lawful:

"1. Processing shall be lawful only if at least one of the following applies:

a) the data subject has given consent to the processing of his or her personal data for one or more specific purposes;

b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;

c) processing is necessary for compliance with a legal obligation to which the controller is subject;

d) processing is necessary to protect the vital interests of the data subject or of another natural person.

e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;

f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and

freedoms of the data subject which require protection of personal data, in particular when the data subject is a child.

The provision in point f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks.”

Furthermore, Recital 40 of the aforementioned GDPR states that “For processing to be lawful, personal data must be processed with the consent of the data subject or on another legitimate basis laid down by law, whether in this Regulation or under other Union or Member State law to which this Regulation relates, including the necessity of compliance with a legal obligation to which the controller is subject or the necessity of performing a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract.”

On the other hand, Article 4 of the GDPR, Definitions, in its paragraphs 1, 2, and 11, states that:

“1) ‘personal data’: any information relating to an identified or identifiable natural person (‘data subject’); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier, such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person;

2) ‘processing’: any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use,

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communication by transmission, broadcasting, or any other form of enabling access, comparison, or interconnection, limitation, suppression, or destruction;

“11) ‘consent of the data subject’: any manifestation of free, specific, informed, and unequivocal will by which the data subject accepts, either through a declaration or a clear affirmative action, the processing of personal data concerning them.”

IV

The infringement attributed to the respondent is classified under Article 83.5 a) of the GDPR, which considers that the infringement of “the basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9” is subject to penalties, according to paragraph 5 of the aforementioned Article 83 of the said Regulation, “with administrative fines of up to €20,000,000 or, in the case of an enterprise, an amount equivalent to a maximum of 4% of the total annual global turnover of the previous financial year, opting for the higher amount.”

The LOPDGDD in its Article 71, Infringements, states that: “Acts and behaviors referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679, as well as those that are contrary to this organic law, constitute infringements.”

And in its Article 72, it considers for the purposes of prescription that: “Very serious infringements:

1. According to what is established in Article 83.5 of Regulation (EU) 2016/679, the following infringements are considered very serious and will prescribe after three years, which involve a substantial violation of the articles mentioned therein and, in particular, the following:

(...)

b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679.

(...)”

V

The processing of personal data requires the existence of a legal basis that legitimizes it.

In accordance with Article 6.1 of the GDPR, in addition to consent, there are other possible bases that legitimize the processing of data without the need for the authorization of its owner, in particular, when it is necessary for the execution of a contract in which the affected party is a party or for the

application, at their request, of pre-contractual measures, or when it is necessary for the satisfaction of legitimate interests pursued by the data controller or by a third party, provided that those interests do not override the interests or fundamental rights and freedoms of the affected party requiring the protection of such data. Processing is also considered lawful when it is necessary for compliance with a legal obligation applicable to the data controller, to protect vital interests of the affected party or another natural person, or for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller.

The complainant in their letter dated 28/05/2023 stated that the respondent requires its employees to use their personal mobile phones for work (through the Soldo application) and, furthermore, that having ceased to provide services for the same, they continue to be included in two WhatsApp groups, with the company refusing to delete them and forcing its employees to use their personal phones for work.

The respondent in a letter dated 13/09/2023 stated that "Until now, WhatsApp groups were created for the agility of the day-to-day operations of the company; it was not a mandatory requirement, but only verbal consent was requested. Since May 31, 2023, written consent is requested from all employees." Therefore, it is considered that the conduct of the respondent violates the principle of lawfulness enshrined in Article 6.1 of the GDPR, classified under Article 83.5 a) of the GDPR.

VI

In order to establish the administrative fine that should be imposed, the provisions contained in Articles 83.1 and 83.2 of the GDPR must be observed, which state:

"1. Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 is, in each individual case, effective, proportionate, and dissuasive.

2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure to those contemplated in Article 58, paragraph 2, letters a) to h) and j). In deciding on the imposition of an administrative fine and its amount in each individual case, the following shall be duly taken into account:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of data subjects affected and the level of damage and detriment they have suffered;
- b) the intentionality or negligence in the infringement;
- c) any measures taken by the controller or processor to mitigate the damage and detriment suffered by the data subjects;
- d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures they have implemented pursuant to Articles 25 and 32;
- e) any previous infringement committed by the controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;

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h) the manner in which the supervisory authority became aware of the infringement, in particular whether the controller or the processor reported the infringement and, if so, to what extent;

i) when the measures indicated in Article 58(2) have been previously ordered against the controller or the processor in relation to the same matter, the compliance with such measures;

j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42, and

k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement.

In relation to point k) of Article 83(2) of the GDPR, the LOPDGDD, in its Article 76, "Sanctions and

corrective measures," establishes that:

"2. According to the provisions of Article 83(2)(k) of Regulation (EU) 2016/679, the following may also be taken into account:

- a) The continued nature of the infringement.
- b) The link between the infringer's activity and the processing of personal data.
- c) The benefits obtained as a result of the commission of the infringement.
- d) The possibility that the conduct of the affected party may have induced the commission of the infringement.
- e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.
- f) The impact on the rights of minors.
- g) Having, when not mandatory, a data protection officer.
- h) The voluntary submission by the controller or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party."

According to the transcribed provisions, and without prejudice to what results from the instruction of the procedure, for the purpose of determining the amount of the fine to be imposed in this case for the infringement of Article 6(1) of the GDPR, classified in Article 83(5)(a) of the GDPR for which the respondent is held responsible, an initial assessment considers it appropriate to establish a fine of €2,000 (two thousand euros).

VII

If the infringement is confirmed, it could be agreed to impose on the controller the adoption of appropriate measures to adjust its actions to the regulations mentioned in this act, in accordance with the provisions of the aforementioned Article 58(2)(d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified timeframe...". The imposition of this measure is compatible with the sanction consisting of an administrative fine, as provided in Article 83(2) of the GDPR.

Therefore, it would be considered appropriate to order that the respondent, within a period of six months, adjust the processing activities subject to this procedure to the applicable regulations. The text of this agreement establishes what the facts have been that have led to the violation of data protection regulations, from which it is clearly inferred what measures are to be adopted, without prejudice to the fact that the type of procedures, mechanisms, or specific instruments for implementing them corresponds to the sanctioned party, as it is the one that fully knows its organization and must decide, based on proactive responsibility and a risk-based approach, how to comply with the GDPR and the LOPDGDD. Specifically, that it proceeds to comply with what is required by the data protection regulations legitimizing the processing carried out both in the use of the app and in the WhatsApp groups in the company or ceases such processing.

It is warned that failure to comply with the order imposed by this body may be considered an administrative infringement in accordance with the provisions of the GDPR, classified as an infringement in its Articles 83(5) and 83(6), which may motivate such conduct to open a further administrative sanctioning procedure.

Therefore, in light of the above,

By the Director of the Spanish Agency for Data Protection,

IT IS AGREED:

FIRST: TO INITIATE SANCTIONING PROCEDURE against VUKMAL TRADE, S.L., with NIF B09966508, for the alleged infringement of Article 6(1) of the GDPR, classified in Article 83(5)(a) of the GDPR.

SECOND: TO APPOINT Instructor B.B.B. and Secretary C.C.C., indicating that either of them may be recused, if applicable, in accordance with the provisions of Articles 23 and 24 of Law 40/2015, of October 1, on the Legal Regime of the Public Sector (LRJSP).

THIRD: TO INCORPORATE into the sanctioning file, for evidentiary purposes, the complaint filed by the complainant and its documentation, the documents obtained and generated by the Inspection Services; all of which are part of the file.

FOURTH: THAT for the purposes provided in Article 64(2)(b) of Law 39/2015, of October 1, and Article 58(2)(b) of the GDPR, the sanction that may correspond for the violation of Article 6(1) of the GDPR would be €2,000 (two thousand euros), without prejudice to what results from the instruction.

FIFTH: TO NOTIFY this Agreement to VUKMAL TRADE, S.L., with NIF B09966508, expressly indicating its right to a hearing in the procedure.

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and granting a period of TEN WORKING DAYS for you to submit your allegations and propose any evidence you deem appropriate. In your written allegations, you must provide your NIF (Tax Identification Number) and the procedure number that appears in the heading of this document.

If you do not submit allegations to this initiation agreement within the stipulated period, it may be considered a proposal for resolution, as established in Article 64.2.f) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP).

In accordance with the provisions of Article 85 of the LPACAP, if the sanction to be imposed is a fine, you may acknowledge your responsibility within the period granted for submitting allegations to this initiation agreement; this will entail a reduction of 20% of the sanction that is to be imposed in this procedure. With the application of this reduction, the sanction would be set at 1,600 euros, concluding the procedure with the imposition of this sanction.

Similarly, you may, at any time prior to the resolution of this procedure, make voluntary payment of the proposed sanction, which will imply a reduction of 20% of its amount. With the application of this reduction, the sanction would be set at 1,600 euros, and its payment will imply the termination of the procedure, without prejudice to any measures that may be imposed.

The reduction for voluntary payment of the sanction is cumulative with the one corresponding to the acknowledgment of responsibility, provided that this acknowledgment of responsibility is made within the period granted for submitting allegations to the initiation of the procedure. The voluntary payment of the amount referred to in the previous paragraph may be made at any time prior to the resolution. In this case, if both reductions are applicable, the amount of the sanction would be set at 1,200 euros.

In any case, the effectiveness of either of the two mentioned reductions will be conditioned upon the withdrawal or renunciation of any action or appeal in the administrative route against the sanction.

In the event that you choose to proceed with the voluntary payment of any of the amounts indicated above (1,600 or 1,200 euros), you must make it effective by depositing it into account number ES00 0000 0000 0000 0000 opened in the name of the Spanish Agency for Data Protection at CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason for the reduction of the amount to which you are entitled.

You must also send the proof of payment to the General Subdirectorate of Inspection to continue with the procedure in accordance with the amount deposited.

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The procedure will have a maximum duration of twelve months from the date of the initiation agreement or, if applicable, from the draft initiation agreement. After this period, it will expire, and consequently, the file will be archived; in accordance with the provisions of Article 64 of the LOPDGDD.

In compliance with Articles 14, 41, and 43 of the LPACAP, it is warned that, henceforth, notifications sent to you will be carried out exclusively electronically, through the Single Enabled Electronic Address (dehu.redsara.es), and that, if you do not access them, your rejection will be noted in the file, considering the procedure completed and continuing with the process. You are informed that you can

identify an email address to this Agency to receive the notice of availability of notifications and that the lack of practice of this notice will not prevent the notification from being considered fully valid. Finally, it is noted that in accordance with the provisions of Article 112.1 of the LPACAP, there is no administrative appeal against this act.

Mar España Martí

Director of the Spanish Agency for Data Protection

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SECOND: On January 16, 2024, the respondent has proceeded to pay the sanction in the amount of 1,200 euros, making use of the two reductions provided for in the previously transcribed Initiation Agreement, which implies acknowledgment of responsibility.

THIRD: The payment made, within the period granted for submitting allegations to the initiation of the procedure, entails the renunciation of any action or appeal in the administrative route against the sanction and the acknowledgment of responsibility concerning the facts referred to in the Initiation Agreement.

FOURTH: The previously transcribed Initiation Agreement stated that, if the infringement were confirmed, it could be agreed to impose on the responsible party the adoption of appropriate measures to adjust their actions to the regulations mentioned in this act, in accordance with the provisions of the cited Article 58.2 d) of the GDPR, according to which each supervisory authority may "order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specific manner and within a specified period...".

Having acknowledged the responsibility for the infringement, the imposition of the measures included in the Initiation Agreement is warranted.

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I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the Guarantee of Digital Rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Termination of the Procedure

Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), under the heading "Termination in Sanctioning Procedures" provides as follows:

"1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

2. When the sanction is solely of a pecuniary nature or when it is possible to impose a pecuniary sanction and another non-pecuniary sanction but the impropriety of the latter has been justified, voluntary payment by the presumed responsible party at any time prior to the resolution will imply the termination of the procedure, except regarding the restoration of the altered situation or the determination of compensation for damages caused by the commission of the infringement.

3. In both cases, when the sanction is solely of a pecuniary nature, the competent authority to resolve the procedure shall apply reductions of at least 20% on the amount of the proposed sanction, which

shall be cumulative. The aforementioned reductions must be specified in the notification of initiation of the procedure, and their effectiveness shall be conditioned upon the withdrawal or renunciation of any action or administrative appeal against the sanction. The percentage of reduction provided for in this section may be increased by regulation.”

In accordance with the above,

the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO DECLARE the termination of procedure EXP202310230, in accordance with the provisions of Article 85 of the LPACAP.

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SECOND: TO ORDER VUKMAL TRADE, S.L. to notify the Agency within 6 months from the date this resolution becomes final and enforceable, of the adoption of the measures described in the legal grounds of the initiation agreement transcribed in this resolution.

THIRD: TO NOTIFY this resolution to VUKMAL TRADE, S.L.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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